

Who gains from a market upgrade? Stock liquidity and prices around Vietnam's FTSE Russell reclassification

Abstract

FTSE Russell reclassified Vietnam from frontier to secondary emerging status in four public steps between October 2025 and September 2026. Such upgrades promise new foreign demand, but studies of aggregate indices or country-level flows do not show which stocks gain or when. Using daily data on 366 Ho Chi Minh City Stock Exchange stocks, we trace liquidity and prices at each step. Because FTSE chose the final constituents on mid-2026 data, we estimate effects for the 24 eventual constituents and, as an intention-to-treat design, for the 27 stocks FTSE had screened as eligible on data from before the announcement. Relative to never-named stocks, the Amihud illiquidity of the pre-announcement eligible group fell by 24%, 43% and 56% after the announcement, the confirmation and the constituent list; for the constituents the declines were 32%, 59% and 68%. Constituents earned cumulative abnormal returns of 3.9% to 7.8% in the announcement week and 2.7% to 4.5% around the confirmation, significant under four benchmarks and a test that allows for the common event dates; the constituent list and the first 10% index tranche produced no reliable price effect. Trading value surged at the rebalancing close for included stocks but not for stocks FTSE named and then excluded. The response came with FTSE's disclosures, before index funds bought.

Keywords: market reclassification, index effect, stock liquidity, frontier markets,

intention to treat, Vietnam

JEL: G12, G14, G15

1. Introduction

The liquidity of likely index stocks improved at each step of Vietnam's market upgrade, before index funds had to buy. Relative to never-named stocks on the Ho Chi Minh City Stock Exchange (HOSE), the Amihud (2002) illiquidity of the 27 stocks FTSE Russell had screened as eligible on 2024 data fell by 43% after the April 2026 confirmation and by 56% after the August 2026 constituent list, and that of the final constituents by 59% and 68%. At the first index tranche, prices showed no reliable change, while trading value surged at the rebalancing close for included stocks only.

Market classification decides which benchmarks a country's stocks can enter, and benchmark weights steer international portfolio allocations (Raddatz et al., 2017). An upgrade to emerging status therefore promises new foreign demand. Because liquidity is priced in emerging markets (Bekaert et al., 2007), the cost of capital of issuers depends in part on which stocks that demand reaches, and when.

Existing evidence says little about this for frontier markets. Additions to the S&P 500 raise trading activity and narrow spreads persistently (Hegde & McDermott, 2003). In frontier markets, index additions raise prices persistently, and the evidence points to institutional demand rather than trading pressure or liquidity changes as the cause (Biktimirov & Afego, 2026). Studies of market reclassification mostly use aggregate indices or country-level flows (e.g., Burnham et al.,

2018; Raddatz et al., 2017), which, being aggregated across stocks, cannot separate the stocks an upgrade targets from market-wide trends. An earlier study of the same market by the present authors (anonymized for review) found no structural breaks in index-level liquidity at FTSE watch-list reviews but could not identify which stocks gained.

Vietnam's reclassification offers a cleaner test. FTSE disclosed it in four dated steps, each resolving a different uncertainty: the announcement (7 October 2025), the confirmation (7 April 2026), the constituent list (21 August 2026) and the effective date (21 September 2026). Hundreds of HOSE stocks outside the index form a comparison group. Finally, FTSE published a preliminary list of eligible stocks screened on data as of 31 December 2024, before the announcement, which supports intention-to-treat (ITT) estimates that do not depend on its later choice. That choice used liquidity data up to June 2026 (FTSE Russell, n.d.), in the middle of our sample, so comparing final constituents with other stocks could mistake selection for an upgrade effect; we also drop from the comparison group every stock FTSE named as eligible but did not include.

We estimate difference-in-differences and event-study regressions on 35,752 stock-weeks and on daily returns from October 2024 to September 2026. The main liquidity measure is the Amihud ratio on traded value in Vietnamese dong (VND); we also report trading value, the Corwin and Schultz (2012) high-low spread (CS spread), volatility and cumulative abnormal returns (CARs). CARs are tested at the portfolio level for the common event dates (Brown & Warner, 1985) and called reliable only if significant at 5% under all four benchmarks.

We make one contribution: we decompose the stock-level liquidity and price effects of a frontier-to-emerging reclassification by disclosure stage, with a treatment group also fixed before the upgrade. In a search bounded to Crossref records and the literature cited here, we found no earlier stock-level estimate of this effect with a comparison group and a pre-determined treatment list, and unlike Biktimirov and Afego (2026) we follow liquidity stage by stage within one market. Four findings support the decomposition. First, ITT illiquidity fell by 0.27, 0.55 and 0.81 log points across the three windows, about two thirds of the constituent declines, with a discrete step at the confirmation but not at the list (Tables 2 and 3). Second, prices rose reliably in the announcement week and at the confirmation, and the confirmation gain persisted under three of four benchmarks (Table 4). Third, trading value surged by 0.79 log points at the rebalancing close, rising with FTSE size segment, with no surge for named-but-excluded stocks (Tables 5 and 6). Fourth, FTSE’s eligibility lists partly followed rising liquidity (Table 9), which limits causal readings of the constituent estimates.

The remainder of the paper is organized as follows. Section 2 describes the setting, reviews the literature and states the hypotheses. Section 3 presents the data and design, Section 4 the results, and Section 5 the robustness checks and the selection evidence. Section 6 concludes.

2. Setting, literature and hypotheses

2.1 FTSE Russell's four-step reclassification of Vietnam

FTSE Russell added Vietnam to its watch list in September 2018 (FTSE Russell, 2018). On 7 October 2025 it announced an upgrade to secondary emerging status effective 21 September 2026, subject to an interim review in March 2026 (LSEG, 2025), and on 7 April 2026 it confirmed the upgrade and the date (LSEG, 2026). Inclusion is phased in tranches of 10%, 20%, 35% and 35% of the index weight on 21 September 2026, 22 March 2027, 21 June 2027 and 20 September 2027 (FTSE Russell, 2026), so the effective date we study carried only the first tenth.

Between these dates the financial press reported FTSE's lists of eligible stocks. A preliminary list of 28 names appeared in November 2025 (Viet Nam News, 2025); it was screened on data as of 31 December 2024 (The Investor, 2026a). A list of 32 names, screened on data as of 31 December 2025, followed in April 2026, dropping Petrolimex (PLX) and adding BID, FPT, NVL, GEE and BSR (The Investor, 2026b). On 21 August 2026 FTSE published 27 constituents, effective after the close of 18 September 2026 (FTSE Russell, 2026; VIR, 2026) and screened on liquidity data up to the last business day of June (FTSE Russell, n.d.). FTSE's liquidity, size and foreign-headroom screens use the investability weight of each security, which reflects free float and foreign-ownership limits, and each tranche applies a fraction of that weight (FTSE Russell, 2026): a security with a 49% investability weight enters at 4.9% after the first tranche and at 49% after the last, so index weight and passive demand rise with free-float market capitalization.

Appendix Table A.2 lists the stocks.

2.2 Index inclusion and liquidity

Two channels link index membership to liquidity and prices. Under the price-pressure channel, additions lead index funds to buy, which produces temporary volume and price effects that reverse afterwards (Harris & Gurel, 1986). Under the demand and recognition channel, the investor base changes lastingly: Shleifer (1986) interprets excess returns that persist for at least ten days after inclusion as evidence that demand curves for stocks slope down, Chen et al. (2004) find asymmetric effects of additions and deletions that fit a gain in investor awareness, and Hegde and McDermott (2003) show that S&P 500 additions narrow spreads and raise trading activity persistently, mainly through lower direct trading costs.

Liquidity gains from inclusion also have real consequences: S&P 500 additions with larger liquidity improvements increase capital investment (Becker-Blease & Paul, 2006), whereas the liquidity lost after FTSE 100 deletions has no significant effect on investment (Gregoriou & Nguyen, 2010). Because liquidity co-moves across stocks (Chordia et al., 2000), such studies must separate stock-specific changes from market-wide liquidity shocks.

2.3 Market reclassification and frontier markets

Reclassification moves a whole market between benchmark families. Because mutual funds allocate across countries with reference to benchmark weights, a change in classification changes capital flows (Raddatz et al., 2017) and can move currency values (Hau et al., 2010). Burnham et al. (2018) show that, when MSCI

moves a country to a different index family, its stock prices move sharply toward the new benchmark before implementation and give back most of that move in the following year. After MSCI included China A-shares in its Emerging Markets Index, the included stocks earned abnormal returns around the announcement, and market quality changed over the longer run through liquidity, turnover and price synchronization (Dong et al., 2023). Frontier-market evidence is thinner. Biktimirov and Afego (2026) study changes to the FTSE Frontier 50 Index from 2008 to 2025; they find persistent price gains for additions and separate return and trading-volume responses when a country changes class, and they trace the gains to institutional demand rather than to trading pressure or liquidity.

Liquidity carries particular weight in these markets. Local market liquidity predicts returns in emerging markets, where segmentation from global capital is only partial (Bekaert et al., 2007), and Stereńczak et al. (2020) ask whether frontier-market investors demand compensation for illiquidity, so a liquidity gain for some stocks could shift their cost of capital; we do not measure that shift. Where domestic retail investors dominate turnover, benchmark-tracking foreign money changes the investor base more than an S&P 500 addition does. Vietnamese evidence from before the upgrade concerns market-wide shocks such as the COVID-19 outbreak (Nguyen et al., 2021), not classification events.

2.4 Hypotheses

The recognition channel predicts that liquidity and prices respond when information reaches investors, at the announcement, the confirmation and the con-

stituent list; the price-pressure channel predicts a trading and price spike when index funds rebalance, followed by reversal.

H1. After the reclassification announcement, stocks likely to enter the index become less illiquid than other HOSE stocks.

H2. The liquidity gap widens at each later disclosure that resolves uncertainty about the upgrade and its constituents.

H3. Likely constituents earn abnormal returns at the disclosures, and the first index tranche adds no further price effect.

H4. The rebalancing session produces a trading-value surge for constituents, and not for excluded stocks, that scales with index weight.

3. Data and empirical design

3.1 Sample and groups

We collect daily open, high, low and close prices and share volume for all 405 common stocks listed on HOSE on 24 September 2026, from 1 October 2024 to 23 September 2026, from the Vietcap Securities (VCI) feed through the open-source vnstock library; the sample therefore omits stocks delisted during the period. We keep stocks with at least 200 trading days before 7 October 2025, zero volume on fewer than 20% of those days, and a median price of at least VND 1,000, which leaves 366 stocks.

We sort the stocks into three groups (Appendix Table A.2). Constituents are the 24 of the final 27 with a full pre-period (TCX, VPL and VCK listed after October 2025). Named-but-excluded stocks are the 14 HOSE stocks on the Novem-

ber 2025 or April 2026 eligible list that FTSE did not include; a fifteenth, Tasco (HUT), trades on the Hanoi exchange. The remaining 328 never-named stocks form the comparison group. The ITT group consists of the 27 HOSE stocks on the preliminary list, 15 of which became constituents. BSR traded on the Unlisted Public Company Market (UPCoM) until 6 January 2025 and on HOSE from 17 January 2025 (VietnamPlus, 2024), so its pre-period spans two venues; Section 5.2 reports results without it.

Table 1 compares the groups before the announcement. Constituents traded a mean of 6.82 log VND billion per week against 2.19 for never-named stocks, with a mean Amihud ratio about three orders of magnitude lower, and named-but-excluded stocks sit between the two; spreads and absolute returns are similar. This size gap motivates the matched sample and the size-specific checks.

Table 1. Pre-announcement characteristics by group (October 2024 to 6 October 2025)

Group	Stocks	Stock-weeks	Amihud	log trading value	CS spread (%)	Absolute return (%)
Constituents	24	1,248	0.00017	6.82	0.57	1.40
Named, not included	14	726	0.0033	5.96	0.61	1.49
Never-named	328	16,915	0.195	2.19	0.61	1.37

Notes: Weekly means; Amihud as in Eq. (1) with traded value in VND billion.

Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

3.2 Liquidity and return measures

Daily traded value VAL_{it} is the closing price times share volume of stock i on day t , in VND billion, and R_{it} is its daily log return. Following Amihud (2002), who divides the absolute daily return by dollar volume, we define daily illiquidity as

$$ILLIQ_{it} = \frac{|R_{it}|}{VAL_{it}}. \quad (1)$$

Traded value makes the ratio comparable across price levels, and our volume filter limits the loss of accuracy that Kang and Zhang (2014) document for the Amihud ratio in emerging markets with many zero-volume days. The CS spread uses the daily high H_{it} and low L_{it} over two consecutive days (Corwin & Schultz, 2012):

$$\beta_{it}^{\text{cs}} = \left[\ln \frac{H_{it}}{L_{it}} \right]^2 + \left[\ln \frac{H_{i,t-1}}{L_{i,t-1}} \right]^2, \quad \gamma_{it}^{\text{cs}} = \left[\ln \frac{\max(H_{it}, H_{i,t-1})}{\min(L_{it}, L_{i,t-1})} \right]^2, \quad (2)$$

$$\alpha_{it}^{\text{cs}} = \frac{\sqrt{2\beta_{it}^{\text{cs}}} - \sqrt{\beta_{it}^{\text{cs}}}}{3 - 2\sqrt{2}} - \sqrt{\frac{\gamma_{it}^{\text{cs}}}{3 - 2\sqrt{2}}}, \quad S_{it} = \max \left\{ 0, \frac{2(e^{\alpha_{it}^{\text{cs}}} - 1)}{1 + e^{\alpha_{it}^{\text{cs}}}} \right\}. \quad (3)$$

We winsorize ILLIQ_{it} and S_{it} at the 1st and 99th percentiles of each day and keep stock-weeks with at least three trading days and a positive Amihud ratio. For stock i in week w with N_{iw} trading days,

$$\text{Amihud}_{iw} = \ln \left(\frac{1}{N_{iw}} \sum_{t \in w} \text{ILLIQ}_{it} \right), \quad \text{TV}_{iw} = \ln \sum_{t \in w} \text{VAL}_{it}, \quad \text{Vol}_{iw} = \ln \left(\frac{1}{N_{iw}} \sum_{t \in w} |R_{it}| \right),$$

and the weekly spread is the mean of S_{it} within the week.

For prices, the abnormal return of stock i on day t against benchmark return R_{bt} is

$$\text{AR}_{it} = R_{it} - R_{bt} \quad \text{or, in the market model,} \quad \text{AR}_{it} = R_{it} - (\hat{a}_i + \hat{b}_i R_{bt}). \quad (5)$$

The four benchmarks are the equal-weighted mean of the 328 never-named stocks, the matched controls described below weighted by their matching weights,

the equal-weighted mean of the 110 never-named stocks in the top tercile of pre-period trading value, and a market model whose $\hat{a}_i$ and $\hat{b}_i$ are estimated for each stock against the first benchmark. Because constituents share event dates, their abnormal returns are correlated, so we test CARs on the equal-weighted portfolio of the N_g stocks in group g , which addresses cross-sectional dependence (Brown & Warner, 1985):

$$AR_{pt} = \frac{1}{N_g} \sum_{i \in g} AR_{it}, \quad CAR_p(\tau_1, \tau_2) = \sum_{t=\tau_1}^{\tau_2} AR_{pt}, \quad t_{CAR} = \frac{CAR_p(\tau_1, \tau_2)}{\hat{\sigma}_p \sqrt{D}}, \quad (6)$$

where $\hat{\sigma}_p$ is the standard deviation of AR_{pt} in the estimation window and $D = \tau_2 - \tau_1 + 1$ is the number of event-window days; the statistic assumes independent daily abnormal returns. The estimation window runs from trading day -130 to -11 before each event and excludes days -1 to $+20$ around every earlier disclosure, which leaves 120 estimation days for the announcement, 98 for the confirmation and the constituent list, and 89 for the effective date. We pre-specify the windows $[-1, +1]$, $[-1, +5]$ and $[0, +20]$ for every disclosure, report all of them, and call a CAR reliable when it is significant at 5% under all four benchmarks.

3.3 Estimation

The baseline liquidity specification is

$$y_{iw} = \alpha_i + \lambda_w + \sum_{k=1}^3 \beta_k (\text{Constituent}_i \times P_{kw}) + \varepsilon_{iw}, \quad (7)$$

where y_{iw} is an outcome from Eq. (4) or the weekly spread for stock i in week w , α_i and λ_w are stock and week fixed effects, Constituent_i equals one for the 24 constituents and zero otherwise, P_{1w} , P_{2w} and P_{3w} indicate the announcement window (7 October 2025 to 6 April 2026), the confirmation window (7 April to 20 August 2026) and the list-and-rebalancing window (21 August to 23 September 2026), β_k is the change in the outcome of constituents relative to never-named stocks in window k , and ε_{iw} is the error term. Weeks start on Monday and enter a window only if they start on or after the disclosure date. FTSE did not state the hour at which it released the constituent list; both the weekly assignment and the $[-1,+1]$ event window, which spans 20, 21 and 24 August, contain the first Vietnamese session after the release. The comparison group contains only never-named stocks. Week fixed effects absorb market-wide liquidity shocks, which co-move across stocks (Chordia et al., 2000), and we cluster standard errors by stock.

The ITT specification replaces Constituent_i in Eq. (7) with ITT_i , which equals one for the 27 stocks on the preliminary list, and keeps all other stocks (in a variant, only never-named, never-included stocks) as controls. A third treatment, “predicted constituents”, is the 27 stocks with the highest pre-announcement trading value, 16 of which became constituents. For timing, we estimate a monthly event study relative to September 2025 (Roth et al., 2023):

$$y_{iw} = \alpha_i + \lambda_w + \sum_{m \neq -1} \delta_m (\text{Constituent}_i \times M_{mw}) + \varepsilon_{iw}, \quad (8)$$

where M_{mw} equals one if week w falls in month m relative to October 2025 ($m = 0$). To separate a discrete step at each disclosure from gradual change, a drift variant adds $\kappa (\text{Constituent}_i \times s_w)$ to Eq. (7), where s_w counts weeks since the announcement and is zero before it; a trend variant uses weeks since the start of the sample instead.

Because constituents are the largest HOSE stocks, we also use a matched sample that pairs each constituent with three never-named stocks by nearest-neighbour propensity score, with replacement, on pre-period return volatility, price and traded value, weighting each control by its matching weight (Ho et al., 2007); matching reduces the standardized mean difference (SMD) in pre-period traded value from 4.06 to 0.04 (Appendix Table A.1). A further check replaces week fixed effects with size-tercile-by-week fixed effects. For inference with 24 treated stocks, we report a wild cluster bootstrap (Cameron et al., 2008) and randomization inference with 500 pseudo-treated groups of 24 stocks drawn from the 85 never-named stocks in the top tercile of pre-period trading value among all 366 stocks. Because all constituents were treated at the same dates, adoption is not staggered, and the two-way fixed effects estimator does not suffer the negative-weighting problem that motivates Callaway and Sant’Anna (2021).

For the rebalancing session we estimate, over the 32 sessions from 6 August to 23 September 2026,

$$\ln \text{VAL}_{id} = \alpha_i + \lambda_d + \theta_1 (\text{Constituent}_i \times \text{Reb}_d) + \theta_2 (\text{Constituent}_i \times \text{Eff}_d) + u_{id}, \quad (9)$$

where d indexes sessions, λ_d are date fixed effects, and Reb_d and Eff_d indicate 18 September (the rebalancing session) and 21 September (the effective date). The coefficients θ_1 and θ_2 measure the surge on those sessions relative to the other sessions in the window. We also compute abnormal log trading value on 18 September as the log trading value of each stock minus its mean from 60 to 6 calendar days before the constituent list.

3.4 Identification assumptions

The coefficients β_k identify the effect of the upgrade on constituents under four assumptions.

First, parallel trends: without the upgrade, constituents and never-named stocks would have followed the same liquidity path; Eq. (8) tests this before the announcement, and the matched, size-by-week and trend specifications relax it. Second, no anticipation before 7 October 2025: after seven years on the watch list (FTSE Russell, 2018; LSEG, 2025), investors could have bought likely constituents early, which would bias the estimates toward zero. Third, no spillovers: if investors sold never-named stocks to buy constituents, comparison-group liquidity would fall because of the treatment, and excluding named-but-excluded stocks removes the most likely channel, trading in near-substitutes. Fourth, no selection on post-treatment outcomes: this fails for the final constituents, which FTSE selected on data as of 30 June 2026, whereas the ITT group, screened on 2024 data, avoids it and measures the average effect on likely constituents, including the 12 listed stocks FTSE did not include.

4. Results

4.1 Likely constituents became less illiquid from the announcement onward

Table 2 reports Eq. (7). The Amihud illiquidity of constituents fell relative to never-named stocks by 0.39, 0.89 and 1.13 log points across the three windows (column 1), declines of 32%, 59% and 68%, all significant at 0.1%. The weighted matched sample yields smaller declines of 0.23 (not significant), 0.47 and 0.69 log points (column 3). With the drift term (-0.012 log points per week, $p = 0.002$), the confirmation coefficient still exceeds the announcement coefficient by 0.21 log points (standard error 0.10, $p = 0.035$), while the additional step at the constituent list is 0.10 (standard error 0.11, $p = 0.40$). H2 therefore holds for the confirmation, after which liquidity improved gradually. The gain resembles the sustained liquidity increase that Hegde and McDermott (2003) document after S&P 500 additions, but most of it appeared at the announcement and the confirmation, months before index funds traded.

Table 2. Liquidity of constituents relative to never-named stocks, by disclosure window

Window	(1) Amihud	(2) Trading value	(3) Amihud, matched	(4) Trading value, matched
Announcement	−0.392*** (0.098)	0.678*** (0.108)	−0.233 (0.159)	0.387* (0.166)
Confirmation	−0.888*** (0.124)	1.030*** (0.125)	−0.471** (0.167)	0.642*** (0.177)
List and rebalancing	−1.129*** (0.178)	1.189*** (0.168)	−0.691** (0.232)	0.845** (0.245)
Observations	34,369	34,369	4,751	4,751

Notes: Eq. (7), outcomes in logs, stock and week fixed effects; columns 3 and 4 weight the 24 matched controls by their matching weights. Standard errors clustered by stock in parentheses; *, **, *** denote significance at 5%, 1% and 0.1%. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

Table 3 shows that the decline does not depend on FTSE's later choice. The ITT group became less illiquid by 0.27, 0.55 and 0.81 log points (24%, 43% and 56%), all significant at 1% or better, and slightly more against never-named, never-included controls. These effects are 62% to 72% of the constituent effects, as expected when 12 of the 27 listed stocks were never included: listed stocks that later entered the index became less illiquid by 0.43, 0.87 and 1.12 log points, the others by 0.11, 0.25 and 0.53. The 27 predicted constituents, chosen on pre-period trading value alone, became less illiquid by 0.25, 0.59 and 0.74 log points. These estimates support H1.

Table 3. Intention-to-treat (ITT) and predicted-constituent estimates

Treatment group	Announcement	Confirmation	List	Trading value, list	Observations
ITT (27), all controls	−0.268** (0.083)	−0.554*** (0.129)	−0.811*** (0.167)	0.724*** (0.194)	35,752
ITT (27), never-named controls	−0.286*** (0.083)	−0.593*** (0.129)	−0.860*** (0.167)	0.776*** (0.194)	34,666
Later included (15)	−0.428*** (0.101)	−0.872*** (0.146)	−1.123*** (0.192)		34,666
Not included (12)	−0.108 (0.102)	−0.245 (0.159)	−0.527* (0.236)		34,666
Predicted (top 27 by trading value)	−0.250*** (0.073)	−0.595*** (0.089)	−0.741*** (0.120)	0.607*** (0.144)	35,752

Notes: Log Amihud unless stated. The ITT group is FTSE’s preliminary list (27 HOSE stocks, data as of 31 December 2024); the split rows come from one regression with never-named, never-included controls. Fixed effects, clustering and significance marks as in Table 2. Source: Authors’ calculations from daily HOSE trading data (VCI, via vnstock).

Figure 1 plots the coefficients δ_m of Eq. (8). Before the announcement, the constituent coefficients show no downward drift and are positive in several months, most clearly three and two months before it (0.33 and 0.23). Because these deviations are precisely estimated, the joint pre-trend test rejects in the full sample ($F = 6.66$, $p < 0.001$) but not at 5% in the matched sample ($F = 1.72$, $p = 0.092$), with stock clusters minus one as denominator degrees of freedom. The coefficient turns negative in October 2025 (−0.23), steps down after the confirmation (−0.62 in April 2026) and reaches −1.12 in August 2026. The ITT group follows the same shape (Figure 2), with coefficients of 0.26 and 0.22 three and two months before the announcement (joint test $F = 7.59$, $p < 0.001$) and a decline from −0.22 in

October 2025 to -0.78 in August 2026. Section 5.1 shows that the estimates do not depend on these months, and Section 5.2 discusses the named-but-excluded stocks.

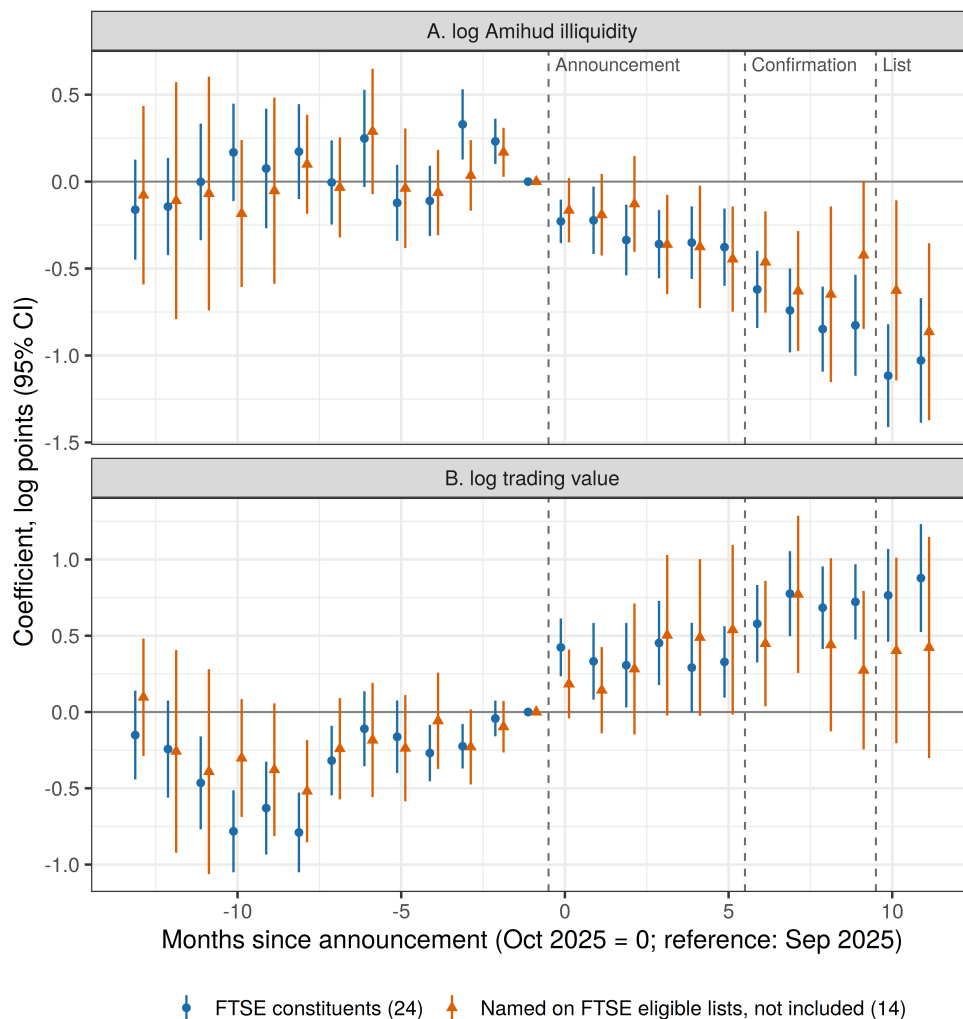
The trading value of constituents rose by 0.68, 1.03 and 1.19 log points (Table 2, column 2) but was already rising before October 2025 (Figure 1, panel B); given the trend-adjusted estimates in Section 5.1, we describe the trading-value result as an association.

Randomization inference confirms that the declines exceed those of large HOSE stocks in general: none of 500 pseudo-groups of 24 stocks drawn from the 85 largest never-named stocks produced a coefficient as negative as the observed one in any window (one-sided $p < 0.002$). The placebo distribution centres at -0.21 in the list window, less than one fifth of the constituent effect.

4.2 Prices moved at the announcement and the confirmation

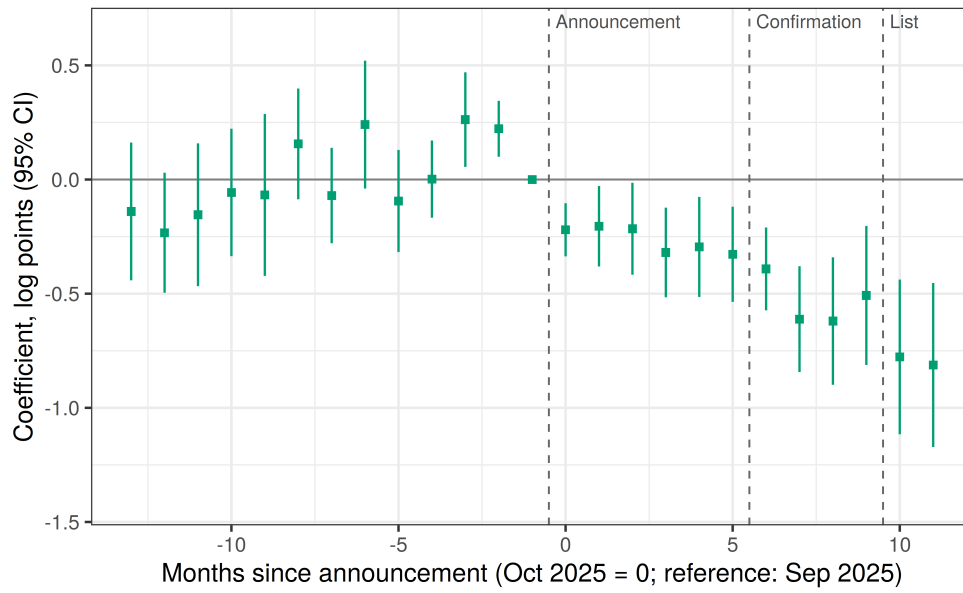
Table 4 reports CARs with portfolio t -statistics for every pre-specified window. Over days -1 to $+5$ around the announcement, constituents earned 3.9% to 7.8% depending on the benchmark (t between 2.19 and 3.46), and over days -1 to $+1$ around the confirmation, 2.7% to 4.5% (t between 2.22 and 2.93); these are the only reliable disclosure-window CARs. The three-day announcement CAR is significant under one benchmark only, so the response built up over the week. Around the constituent list, the three-day CARs (1.5% to 2.7%) are never significant and the $[-1,+5]$ CARs (2.0% to 4.4%) are significant under two benchmarks; around the effective date the three-day CAR (-0.5% to 0.9%) is never sig-

Figure 1. Monthly event-study coefficients for FTSE constituents and named-but-excluded stocks



Note: Coefficients δ_m of Eq. (8), with the same interactions for named-but-excluded stocks; comparison group never-named HOSE stocks; 95% confidence intervals from stock-clustered standard errors. Dashed lines mark the announcement, confirmation and constituent-list months. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

Figure 2. Monthly event-study coefficients for the intention-to-treat group



Note: Eq. (8) for log Amihud with ITT_i in place of $Constituent_i$; comparison group never-named, never-included HOSE stocks; 95% confidence intervals from stock-clustered standard errors. Dashed lines mark the announcement, confirmation and constituent-list months. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

nificant. Cross-sectional t -statistics, which ignore the common event date, are up to 2.9 times larger (6.48 against 2.27 for the three-day announcement CAR). The announcement-week response parallels the short-term excess returns that Dong et al. (2023) report around the announcement of the China A-share inclusion.

Table 4. Cumulative abnormal returns around FTSE disclosures, by benchmark

Panel A. Constituents (24)					
Event	Window	Never-named	Matched	Large never-named	Market model
Announcement (7 Oct 2025)	[-1,+1]	3.3% (2.27)	1.7% (1.43)	2.3% (1.54)	2.6% (1.85)
	[-1,+5]	7.8% (3.46)	3.9% (2.19)	6.3% (2.75)	6.6% (3.04)
	[0,+20]	-2.4% (-0.61)	1.6% (0.51)	-1.4% (-0.35)	-5.5% (-1.47)
Confirmation (7 Apr 2026)	[-1,+1]	4.5% (2.93)	2.7% (2.22)	3.6% (2.73)	3.8% (2.73)
	[-1,+5]	4.7% (2.00)	2.2% (1.21)	3.5% (1.75)	3.6% (1.72)
	[0,+20]	10.0% (2.44)	6.2% (1.94)	10.6% (3.03)	8.4% (2.30)
Constituent list (21 Aug 2026)	[-1,+1]	2.7% (1.86)	1.5% (1.31)	1.8% (1.50)	1.5% (1.25)
	[-1,+5]	4.4% (2.04)	2.0% (1.12)	3.9% (2.17)	3.1% (1.64)
	[0,+20]	4.6% (1.21)	3.7% (1.21)	5.2% (1.65)	3.3% (1.00)
Effective date (21 Sep 2026)	[-1,+1]	-0.1% (-0.11)	0.9% (0.88)	0.0% (0.03)	-0.5% (-0.51)

Panel B. ITT group (27)					
Event	Window	Never-named	Matched	Large never-named	Market model
Announcement (7 Oct 2025)	[-1,+1]	3.0% (2.43)	1.3% (1.07)	2.0% (1.87)	2.3% (2.05)
	[-1,+5]	7.5% (3.97)	3.5% (1.91)	5.9% (3.72)	6.4% (3.75)

Event	Window	Never-named	Matched	Large never-named	Market model
	[0,+20]	−1.0% (−0.32)	2.9% (0.90)	−0.1% (−0.03)	−3.6% (−1.20)
Confirmation (7 Apr 2026)	[−1,+1]	3.1% (2.17)	1.3% (0.99)	2.2% (2.10)	2.4% (2.02)
	[−1,+5]	3.2% (1.45)	0.7% (0.35)	2.0% (1.24)	2.3% (1.25)
	[0,+20]	7.0% (1.83)	3.2% (0.94)	7.6% (2.74)	6.3% (2.01)
Constituent list (21 Aug 2026)	[−1,+1]	2.7% (2.08)	1.6% (1.37)	1.8% (2.13)	1.7% (1.64)
	[−1,+5]	3.2% (1.62)	0.7% (0.42)	2.7% (2.05)	2.3% (1.43)
	[0,+20]	1.2% (0.35)	0.3% (0.11)	1.8% (0.80)	1.4% (0.50)
Effective date (21 Sep 2026)	[−1,+1]	0.4% (0.35)	1.5% (1.52)	0.6% (0.75)	0.2% (0.27)

Notes: CAR from Eq. (6) with the portfolio t -statistic in parentheses, for the four benchmarks of Eq. (5). Effective-date windows beyond +1 are not reported because the data end on 23 September 2026. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

The two gains behaved differently afterwards. Over days 0 to +20 the announcement CAR lies between −5.5% and 1.6% and is never significant, whereas after the confirmation constituents earned 6.2% to 10.6%, significant under three of four benchmarks (t between 1.94 and 3.03). The fading after the conditional announcement is consistent with temporary price pressure, as in the S&P 500 additions of Harris and Gurel (1986), whose announcement gains of more than 3% were almost fully reversed after two weeks. The lasting gain after the confirmation, once the upgrade was certain and dated, is consistent with a shift in demand (Shleifer, 1986; Chen et al., 2004) and with the persistent gains of frontier-market index additions (Biktimirov & Afego, 2026). Our data end too soon to test for the

reversal within a year that Burnham et al. (2018) find at the country level.

Panel B separates likely constituents from the stocks FTSE passed over. The ITT group earned 3.5% to 7.5% in the announcement week, significant under three of four benchmarks (the matched benchmark gives $t = 1.91$), and 1.3% to 3.1% over three days at the confirmation, significant except against matched controls. Named-but-excluded stocks gained 2.3% to 6.2% in the announcement week (significant under three of four benchmarks) and nothing at the confirmation (−1.4% to 0.4%, never significant; not tabulated). No list was public at the announcement, so their announcement-week gain suggests that investors responded to characteristics they could observe, such as size and liquidity; by the confirmation the preliminary list was public, and only stocks that went on to be included gained. These results support H3 for the announcement and the confirmation but not for the constituent list.

4.3 The rebalancing session produced a trading surge only for included stocks

Table 5 reports Eq. (9). On 18 September 2026, the last session before the upgrade took effect, the log trading value of constituents rose 0.79 above its level on other sessions in the window, relative to never-named stocks (standard error 0.12, $t = 6.84$), and 0.84 relative to matched controls. On the effective date the excess fell to 0.20 ($p = 0.057$) and 0.34 ($p = 0.007$). Named-but-excluded stocks show no surge (−0.01 and −0.16). Mean abnormal log trading value on 18 September was 0.76 for constituents (standard error 0.12), −0.28 for matched controls (0.10) and 0.00 for named-but-excluded stocks (0.15).

Table 5. Excess log trading value on the rebalancing and effective sessions

Comparison	18 Sep 2026 (rebalancing)	21 Sep 2026 (effective date)	Observations
Constituents vs never-named	0.794*** (0.116)	0.202 (0.106)	10,820
Constituents vs matched controls	0.837*** (0.122)	0.341** (0.122)	1,536
Named-but-excluded vs never-named	−0.013 (0.116)	−0.159 (0.136)	10,500

Notes: Eq. (9) over the sessions from 6 August to 23 September 2026, with stock and date fixed effects. Clustering and significance marks as in Table 2. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

The surge matches the trading that funds tracking FTSE benchmarks had to do: they bought the first tranche at the closing price of 18 September (FTSE Russell, 2026; VIR, 2026), and nothing obliged them to trade the stocks FTSE had passed over. Without data on who traded, we infer index demand from the timing and from the missing surge for named-but-excluded stocks, where a general rise in trading would have shown up. Prices did not respond: the three-day CAR around the effective date lies between -0.5% and 0.9% (Table 4), consistent with other investors having bought earlier and supplying the stocks at the close. Harris and Gurel (1986) find temporary price rises when index funds buy S&P 500 additions, whereas the first-tranche purchase in Vietnam left no reliable price effect. The liquidity decline at the disclosures and the volume surge at the close are consistent with the two stages at which benchmark changes move fund allocations, announcement and implementation (Raddatz et al., 2017).

4.4 The rebalancing surge rose with FTSE size segment

FTSE assigned the constituents to size segments on 21 August 2026: three large-capitalization stocks (VCB, VIC, VHM), three mid-capitalization stocks (BID, VPB, HPG) and 18 small-capitalization stocks in our sample (VIR, 2026). H4 predicts a larger rebalancing surge for large constituents, whose index weights are larger, and benchmark-driven foreign allocations (Raddatz et al., 2017) point the same way for the persistent effect.

Table 6 splits the constituent coefficients by segment. Illiquidity fell most for the three large stocks (-0.61 , -1.35 and -2.20 log points), against -0.20 , -0.63 and -0.82 for mid and -0.39 , -0.85 and -1.00 for small stocks; the mid-small ordering does not follow size, and with three stocks in each upper segment we read these estimates as descriptive. The rebalancing surge rose monotonically with segment, with abnormal log trading value of 1.23 , 0.98 and 0.65 for large, mid and small constituents, consistent with H4.

Table 6. Constituent effects by FTSE size segment

Outcome and window	Large (3)	Mid (3)	Small (18)
Amihud, announcement	−0.607 (0.273)	−0.204 (0.119)	−0.387*** (0.113)
Amihud, confirmation	−1.350 (0.413)	−0.629 (0.076)	−0.855*** (0.133)
Amihud, list	−2.198 (0.396)	−0.819 (0.229)	−1.002*** (0.187)
Trading value, list	2.332 (0.484)	0.896 (0.194)	1.048*** (0.160)
Abnormal trading value, 18 Sep 2026	1.231 (0.110)	0.976 (0.294)	0.645 (0.150)

Notes: Eq. (7) with segment-by-window interactions (log outcomes); the last row gives the mean (standard error) of abnormal log trading value. Clustering and significance marks as in Table 2; marks are omitted for the three-stock segments. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

4.5 Volatility rose, so the illiquidity decline is conservative

In Table 7, the weekly volatility of constituents rose by 0.34 and 0.21 log points in the announcement and confirmation windows (both significant at 0.1%) and by an insignificant 0.14 in the list window (column 1). Because the Amihud ratio divides absolute returns by traded value (Amihud, 2002), rising volatility pushes it up, so the measured decline in illiquidity understates the gain in trading capacity; controlling for volatility enlarges the Amihud coefficients to −0.57, −1.00 and −1.20 (column 5).

The CS spread rose by 0.09 to 0.13 percentage points (column 2), and by 0.11 to 0.14 percentage points in the matched sample (column 3), from a pre-period mean of 0.57%; with the volatility control, the rise shrinks to 0.06, 0.08 and 0.12 percentage points (column 4). S&P 500 additions, by contrast, gained liquidity

mainly through lower direct trading costs (Hegde & McDermott, 2003). Because the Corwin and Schultz (2012) estimator loads on intraday price ranges, the residual rise may reflect volatility the weekly control misses, so we limit our liquidity claims to price impact and trading activity.

Table 7. Volatility, CS spread and Amihud estimates for constituents

Window	(1) Volatility	(2) CS spread	(3) CS spread, matched	(4) CS spread	(5) Amihud
Announcement	0.341*** (0.058)	0.0009** (0.0003)	0.0011** (0.0004)	0.0006* (0.0003)	-0.574*** (0.102)
Confirmation	0.215*** (0.056)	0.0010** (0.0003)	0.0014*** (0.0004)	0.0008* (0.0003)	-1.003*** (0.122)
List and rebalancing	0.139 (0.086)	0.0013** (0.0005)	0.0013* (0.0006)	0.0012* (0.0005)	-1.203*** (0.164)
Volatility control				0.0010*** (0.0001)	0.535*** (0.021)
Observations	34,369	34,369	4,751	34,369	34,369

Notes: Eq. (7). Volatility is Vol_{iw} from Eq. (4); spreads are in decimal units (0.0010 equals 0.10 percentage points). Column 3 uses the weighted matched sample; columns 4 and 5 control for volatility. Clustering and significance marks as in Table 2. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

5. Robustness and selection

5.1 Robustness of the liquidity result

Table 8 collects the robustness checks for the constituent Amihud result. The coefficients remain negative in every specification; they are of similar size except

in the weighted matched sample with a trend and the drift specification, where they are about half as large.

Table 8. Robustness of the constituent Amihud estimates

Specification	Announcement	Confirmation	List	Observations
Baseline (Table 2, column 1)	−0.392*** (0.098)	−0.888*** (0.124)	−1.129*** (0.178)	34,369
Size-tercile-by-week fixed effects	−0.424*** (0.108)	−0.786*** (0.139)	−0.978*** (0.207)	34,369
Excluding Vingroup stocks (VIC, VHM, VRE)	−0.389*** (0.100)	−0.863*** (0.114)	−1.007*** (0.168)	34,072
Constituent-specific linear trend	−0.382*** (0.098)	−0.874*** (0.156)	−1.111*** (0.225)	34,369
Weighted matched sample with trend	−0.204 (0.138)	−0.425* (0.199)	−0.637* (0.262)	4,751
Drift after the announcement	−0.231* (0.110)	−0.446** (0.171)	−0.541* (0.235)	34,369
Excluding July and August 2025	−0.354*** (0.105)	−0.850*** (0.130)	−1.091*** (0.183)	31,212
Excluding banks and securities firms (11 remain)	−0.439** (0.163)	−1.042*** (0.210)	−1.398*** (0.315)	33,082
ITT, excluding banks and securities firms (19 remain)	−0.225* (0.095)	−0.515** (0.163)	−0.831*** (0.223)	33,874
Wild cluster bootstrap p (352 clusters)	< 0.001	< 0.001	< 0.001	
Randomization inference, one-sided p	< 0.002	< 0.002	< 0.002	

Notes: Dependent variable log Amihud. Banks are VCB, BID, VPB, HDB, STB, SHB, SSB and MSB (and EIB in the ITT group); securities firms are SSI, VCI, VIX, VND and HCM. Bootstrap: restricted residuals, Rademacher weights, 999 draws (Cameron et al., 2008); randomization: 500 draws from 85 large never-named stocks. Clustering and significance marks as in Table 2. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

Pre-announcement months. The positive pre-period deviations in Figure 1 work against the estimated declines. Dropping July and August 2025, the two months with significant positive deviations, or adding a constituent-specific linear trend (-0.0002 per week, standard error 0.003) leaves the estimates almost unchanged (Table 8). The weighted matched sample with a trend yields estimates about half as large, with the announcement estimate not significant, so we rest the announcement-stage conclusion on the full-sample, ITT and trend estimates and treat it as less certain than the later stages.

Size-related shocks. With size-tercile-by-week fixed effects, the confirmation and list coefficients shrink by 12% and 13% and all three remain significant at 0.1%; the predicted-constituent estimates in Table 3, which use only pre-period size, point the same way.

Trading value. A constituent-specific linear trend in trading value is strong (0.010 log points per week, $p < 0.001$), and trend-adjusted effects fall to 0.28, 0.39 and 0.43 log points, the last significant only at 10%.

Inference and influential stocks. Two-way clustering by stock and week widens standard errors by less than 17%. Excluding the three Vingroup-family stocks changes the estimates by at most 11%. In the unweighted matched sample, with 48 clusters, the wild cluster bootstrap p -values remain at or below 0.003.

Sector composition and the pre-funding reform. Banks and securities firms make up 13 of the 24 constituents and 8 of the 27 ITT stocks; without them, the remaining 11 constituents and 19 ITT stocks show similar or larger declines (Table 8). LSEG (2026) lists the removal of pre-funding requirements for foreign insti-

tutional investors among the reforms behind the upgrade, a reform that applies to every stock foreign investors can buy. The 85 large never-named stocks became more liquid by about one fifth as much as constituents in the list window (-0.21 against -1.13), but this comparison does not separate the reform from the upgrade for the largest stocks.

Placebo. A fake event on 7 April 2025, estimated on pre-announcement data only, yields a coefficient of 0.04 (standard error 0.10).

5.2 Selection: FTSE's lists partly followed rising liquidity

Table 9 uses the 14 stocks FTSE named but did not include to test for selection. They became less illiquid than never-named stocks by 0.29, 0.55 and 0.87 log points, 62% to 77% of the constituent effects, the first significant only at 10% (panel A); without BSR, whose pre-period spans two venues, the estimates are -0.23 , -0.46 and -0.73 , only the last significant at 5%. The gains concentrate in GEE, whose timing points to selection, and BSR, whose timing does not.

FTSE screened the April 2026 list on data up to 31 December 2025, the end of window W1 (from 7 October 2025; W2 runs to 6 April 2026 and W3 from 7 April 2026). GEE, added in April, became 1.83 log points less illiquid relative to never-named stocks during W1, inside the data window FTSE screened (Appendix Table A.3). BSR improved mostly after the cut-off (-0.39 in W1, -1.68 in W2) and joined HOSE only in January 2025, after the data date of the November list (VietnamPlus, 2024), which gives a reason other than liquidity for its later addition. The twelve November names changed little (-0.02 , -0.19 and -0.30 log points,

none significant at 5%; panel B), and only PLX, which FTSE dropped in April, and DPM fell by more than 0.5 log points by the April list.

Table 9. Named-but-excluded stocks and the timing of FTSE’s screening

Panel A. Named-but-excluded (14) and constituents, relative to never-named stocks

Window	Constituents: Amihud	Named: Amihud	Named: trading value
Announcement	−0.392*** (0.098)	−0.293 (0.154)	0.589** (0.186)
Confirmation	−0.888*** (0.124)	−0.554* (0.255)	0.683* (0.269)
List and rebalancing	−1.129*** (0.178)	−0.865** (0.304)	0.653 (0.345)

Panel B. log Amihud by FTSE screening window

Group	W1	W2	W3
Constituents (24)	−0.339** (0.110)	−0.440*** (0.100)	−0.932*** (0.129)
Named Nov 2025, not included (12)	−0.024 (0.092)	−0.185 (0.127)	−0.295 (0.168)
Added Apr 2026: GEE, BSR (point estimates)	−1.15	−1.67	−2.51

Notes: One regression per panel on all 366 stocks with stock and week fixed effects; W1 to W3 as defined in Section 5.2. The two-stock row reports point estimates only. Clustering and significance marks as in Table 2. Source: Authors’ calculations from daily HOSE trading data (VCI, via vnstock).

FTSE’s screens rest on investability, and at least one stock became eligible after its liquidity rose during the screening window. The same can happen among the final constituents, chosen on June 2026 data, and could favour stocks with large gains on disclosure dates. Studies that use index additions as an exogenous liquidity shock (Becker-Blease & Paul, 2006) rely on membership not following liquidity;

the Vietnamese lists show that this premise can fail when the index provider screens on recent liquidity. The ITT group, fixed on 2024 data, is not exposed to this selection and still shows illiquidity declines of 24% to 56% and an announcement-week price response significant under three of four benchmarks.

6. Discussion and conclusion

Vietnam's reclassification brought liquidity and price gains to likely index stocks at FTSE's disclosures, before the first index tranche took effect. The pre-announcement eligible stocks became 24% less illiquid within months and 56% less by the constituent list, and the constituents 32% and 68%, with a discrete step at the confirmation. The prices of constituents rose by 3.9% to 7.8% in the announcement week and 2.7% to 4.5% around the confirmation, and only the confirmation gain lasted. The first tranche added a trading surge at the rebalancing close, largest for the largest constituents and absent for excluded stocks, and no reliable price effect.

These findings favour the recognition channel over the price-pressure channel as the source of lasting effects: prices and liquidity moved with FTSE's public statements, and the first-tranche rebalancing left no reliable price effect. This reading fits developed-market studies that find lasting liquidity gains after inclusion (Hegde & McDermott, 2003) and frontier-market evidence that index effects reflect investor demand rather than liquidity alone (Biktimirov & Afego, 2026); in Vietnam, demand and liquidity moved together at disclosure. Unlike a routine reconstitution, a frontier-to-emerging upgrade changes which benchmark family

can hold the stocks, and its information arrives months in advance.

The largest liquidity gain, for the three large-capitalization stocks (-2.20 log points in the list window; Table 6), is consistent with investors weighting attention by expected index weight, although three stocks support only a descriptive reading. The results also revise an index-level study of the same market that found no structural break in aggregate HOSE liquidity at FTSE watch-list reviews: the 2025 and 2026 decisions were followed by liquidity gains in the stocks they concerned, while large never-named stocks moved much less (-0.21 against -1.13 log points), and index averages over hundreds of stocks outside FTSE's screens diluted that shift. We do not test whether other stocks lost liquidity in absolute terms.

Because FTSE's eligibility lists partly followed rising liquidity and the final constituents were chosen on mid-2026 data, we report constituent and ITT estimates side by side; both show a large response at disclosure, and the ITT estimates do not depend on FTSE's final choice.

The results carry two implications, both drawn from a single event. For regulators, the response arrived with credible, dated announcements rather than with index trading, which is consistent with early communication bringing it forward; one event cannot show that earlier communication causes larger gains. For issuers, the gains concentrated in stocks FTSE could hold, and free float and foreign-ownership headroom enter FTSE's screens and index weights; we do not test whether raising them would change the outcome.

The sample omits stocks delisted before 24 September 2026. Only three trading days follow the effective date, and the first tranche carried 10% of the eventual

weight, so the analysis cannot evaluate the 2027 tranches. The price data do not identify investor type, so we cannot observe whether foreign investors drove the gains. For the largest stocks, the upgrade cannot be fully separated from the concurrent removal of pre-funding requirements, BSR changed trading venue during the pre-period, and the preliminary and April lists come from press reports rather than FTSE documents. Extending the panel through September 2027 with foreign-flow data would show whether the constituent effects persist through the remaining tranches and whether foreign trading drives them.

Appendix

Table A.1 reports covariate balance for the matched sample (Section 3.3), Table A.2 lists the stocks on each FTSE list (Section 3.1), and Table A.3 gives the liquidity change of each named-but-excluded stock by screening window (Section 5.2).

Table A.1. Covariate balance before and after matching (constituents vs never-named stocks)

Variable	Constituent mean	Control mean, all	SMD, all	Control mean, matched	SMD, matched
Propensity score	0.522	0.035	1.80	0.500	0.08
Pre-period log trading value	5.170	1.585	4.06	5.132	0.04
Log median price	3.228	2.725	0.66	3.061	0.22
Pre-period return volatility	0.0206	0.0207	−0.03	0.0194	0.33

Notes: Nearest-neighbour propensity-score matching, three controls per constituent, with replacement (24 distinct controls). Log trading value is the mean daily $\log(1 + \text{traded value, VND billion})$. Log price and volatility remain imbalanced above 0.10, which is why we pair the matched estimates with the size-by-week and trend specifications. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

Table A.2. Stocks by FTSE list

List	Stocks
Preliminary list, Nov 2025 (data as of 31 Dec 2024), later constituents (15)	GEX, HPG, MSN, SHB, SSI, STB, VCB, VCI, VHM, VIC, VIX, VJC, VND, VNM, VRE
Preliminary list, Nov 2025, not included (12 on HOSE)	DGC, DIG, DPM, DXG, EIB, FRT, KBC, KDC, KDH, PDR, PLX, SAB (HUT trades on the Hanoi exchange)
Added to the April 2026 list (data as of 31 Dec 2025)	BID, FPT, NVL (later constituents); GEE, BSR (not included); PLX removed
Constituents not on either eligible list	HCM, HDB, MCH, MSB, SSB, VPB (in sample); TCX, VCK, VPL (listed after Oct 2025, not in sample)

Sources: Viet Nam News (2025); The Investor (2026a, 2026b); FTSE Russell (2026); VIR (2026).

Table A.3. Change in log Amihud of named-but-excluded stocks by FTSE screening window

Stock	First named	W1	W2	W3
BSR	Apr 2026	−0.39	−1.68	−1.81
GEE	Apr 2026	−1.83	−1.59	−2.98
DGC	Nov 2025	0.11	0.18	1.20
DIG	Nov 2025	−0.01	0.04	0.19
DPM	Nov 2025	−0.21	−0.86	−0.74
DXG	Nov 2025	−0.02	−0.12	−0.32
EIB	Nov 2025	0.22	−0.24	−0.61
FRT	Nov 2025	−0.02	−0.10	−0.10
KBC	Nov 2025	0.31	0.04	0.03
KDC	Nov 2025	0.66	0.46	0.10
KDH	Nov 2025	−0.33	−0.16	−0.47
PDR	Nov 2025	−0.25	−0.19	−0.50
PLX	Nov 2025	−0.37	−1.12	−1.04
SAB	Nov 2025	−0.17	0.02	−0.11

Notes: Descriptive change in mean log Amihud relative to never-named stocks and to the pre-announcement level of the stock; W1 to W3 as in Section 5.2. Source: Authors' calculations from daily HOSE trading data (VCI, via vnstock).

Declarations

Data availability. Daily price and volume data are public and were retrieved through the vnstock library (VCI source). The downloaded files and the R code that reproduces all tables and figures (R 4.3.3, fixest 0.14.2, MatchIt 4.5.5, data.table 1.14.10) are available from the corresponding author and will be deposited in a public repository on acceptance.

Ethics. The study uses public market data and involves no human participants.

Funding. This research did not receive any specific grant from funding agencies in the public, commercial, or not-for-profit sectors.

Declaration of generative AI and AI-assisted technologies in the manuscript preparation process

During the preparation of this work the authors used Claude (Anthropic) in order to organize the analysis code, draft text, simulate peer review and verify references against Crossref. After using this tool, the authors reviewed and edited the content as needed and take full responsibility for the content of the published article.

References

Amihud, Y. (2002). Illiquidity and stock returns: Cross-section and time-series effects. *Journal of Financial Markets*, 5(1), 31–56. [https://doi.org/10.1016/S1386-4181\(01\)00024-6](https://doi.org/10.1016/S1386-4181(01)00024-6)

Becker-Blease, J. R., & Paul, D. L. (2006). Stock liquidity and investment opportunities: Evidence from index additions. *Financial Management*, 35(3), 35–51. <https://doi.org/10.1111/j.1755-053X.2006.tb00146.x>

Bekaert, G., Harvey, C. R., & Lundblad, C. (2007). Liquidity and expected returns: Lessons from emerging markets. *Review of Financial Studies*, 20(6), 1783–1831. <https://doi.org/10.1093/rfs/hhm030>

Biktimirov, E. N., & Afego, P. N. (2026). Is there an index effect in frontier markets? *International Review of Economics & Finance*, 110, 105562. <https://doi.org/10.1016/j.irfec.2025.105562>

[//doi.org/10.1016/j.jiref.2026.105562](https://doi.org/10.1016/j.jiref.2026.105562)

Brown, S. J., & Warner, J. B. (1985). Using daily stock returns: The case of event studies. *Journal of Financial Economics*, 14(1), 3–31. [https://doi.org/10.1016/0304-405X\(85\)90042-X](https://doi.org/10.1016/0304-405X(85)90042-X)

Burnham, T. C., Gakidis, H., & Wurgler, J. (2018). Investing in the presence of massive flows: The case of MSCI country reclassifications. *Financial Analysts Journal*, 74(1), 77–87. <https://doi.org/10.2469/faj.v74.n1.8>

Callaway, B., & Sant’Anna, P. H. C. (2021). Difference-in-differences with multiple time periods. *Journal of Econometrics*, 225(2), 200–230. <https://doi.org/10.1016/j.jeconom.2020.12.001>

Cameron, A. C., Gelbach, J. B., & Miller, D. L. (2008). Bootstrap-based improvements for inference with clustered errors. *Review of Economics and Statistics*, 90(3), 414–427. <https://doi.org/10.1162/rest.90.3.414>

Chen, H., Noronha, G., & Singal, V. (2004). The price response to S&P 500 index additions and deletions: Evidence of asymmetry and a new explanation. *The Journal of Finance*, 59(4), 1901–1930. <https://doi.org/10.1111/j.1540-6261.2004.00683.x>

Chordia, T., Roll, R., & Subrahmanyam, A. (2000). Commonality in liquidity. *Journal of Financial Economics*, 56(1), 3–28. [https://doi.org/10.1016/S0304-405X\(99\)00057-4](https://doi.org/10.1016/S0304-405X(99)00057-4)

Corwin, S. A., & Schultz, P. (2012). A simple way to estimate bid-ask spreads from daily high and low prices. *The Journal of Finance*, 67(2), 719–760. <https://doi.org/10.1111/j.1540-6261.2012.01729.x>

Dong, S., Zheng, J., Jia, H., & Zhang, Z. (2023). Impact of capital market internationalization on stock markets: Evidence from the inclusion of China A-shares in the MSCI Emerging Markets Index. *Research in International Business and Finance*, 66, 101989. <https://doi.org/10.1016/j.ribaf.2023.101989>

FTSE Russell. (n.d.). *FTSE Global Equity Index Series ground rules*. https://www.lseg.com/content/dam/ftse-russell/en_us/documents/ground-rules/ftse-global-equity-index-series-ground-rules.pdf Accessed 24 September 2026.

FTSE Russell. (2018, September 26). *FTSE classification of markets: September 2018*. https://www.lseg.com/content/dam/ftse-russell/en_us/documents/country-classification/ftse-country-classification-update-2018.pdf Accessed 24 September 2026.

FTSE Russell. (2026, April). *Reclassification of Vietnam from frontier to secondary emerging market status: FAQ* (Version 1.2). https://www.lseg.com/content/dam/ftse-russell/en_us/documents/policy-documents/fts-e-faq-document-vietnam-reclassification.pdf Accessed 24 September 2026.

Gregoriou, A., & Nguyen, N. D. (2010). Stock liquidity and investment opportunities: New evidence from FTSE 100 index deletions. *Journal of International Financial Markets, Institutions and Money*, 20(3), 267–274. <https://doi.org/10.1016/j.intfin.2010.03.005>

Harris, L., & Gurel, E. (1986). Price and volume effects associated with changes in the S&P 500 list: New evidence for the existence

of price pressures. *The Journal of Finance*, 41(4), 815–829. <https://doi.org/10.1111/j.1540-6261.1986.tb04550.x>

Hau, H., Massa, M., & Peress, J. (2010). Do demand curves for currencies slope down? Evidence from the MSCI global index change. *Review of Financial Studies*, 23(4), 1681–1717. <https://doi.org/10.1093/rfs/hhp095>

Hegde, S. P., & McDermott, J. B. (2003). The liquidity effects of revisions to the S&P 500 index: An empirical analysis. *Journal of Financial Markets*, 6(3), 413–459. [https://doi.org/10.1016/S1386-4181\(02\)00046-0](https://doi.org/10.1016/S1386-4181(02)00046-0)

Ho, D. E., Imai, K., King, G., & Stuart, E. A. (2007). Matching as nonparametric preprocessing for reducing model dependence in parametric causal inference. *Political Analysis*, 15(3), 199–236. <https://doi.org/10.1093/pan/mpi013>

Kang, W., & Zhang, H. (2014). Measuring liquidity in emerging markets. *Pacific-Basin Finance Journal*, 27, 49–71. <https://doi.org/10.1016/j.pacfin.2014.02.001>

LSEG. (2025, October 7). *FTSE Russell announces results of September 2025 semi-annual country classification review for equities and fixed income* [Press release]. <https://www.lseg.com/en/media-centre/press-releases/ftse-russell/2025/ftse-russell-country-classification-september-2025> Accessed 24 September 2026.

LSEG. (2026, April 7). *FTSE Russell announces results of March 2026 semi-annual country classification review for equities and fixed income* [Press release]. <https://www.lseg.com/en/media-centre/press-releases/ftse-russell/2026/ftse-russell-announces-results-march-2026-semi-annual>

1-country-classification-review-equities-fixed-income Accessed 24 September 2026.

Nguyen, C. T., Hai, P. T., & Nguyen, H. K. (2021). Stock market returns and liquidity during the COVID-19 outbreak: Evidence from the financial services sector in Vietnam. *Asian Journal of Economics and Banking*, 5(3), 324–342. <https://doi.org/10.1108/AJEB-06-2021-0070>

Raddatz, C., Schmukler, S. L., & Williams, T. (2017). International asset allocations and capital flows: The benchmark effect. *Journal of International Economics*, 108, 413–430. <https://doi.org/10.1016/j.jinteco.2017.06.007>

Roth, J., Sant’Anna, P. H. C., Bilinski, A., & Poe, J. (2023). What’s trending in difference-in-differences? A synthesis of the recent econometrics literature. *Journal of Econometrics*, 235(2), 2218–2244. <https://doi.org/10.1016/j.jeconom.2023.03.008>

Shleifer, A. (1986). Do demand curves for stocks slope down? *The Journal of Finance*, 41(3), 579–590. <https://doi.org/10.1111/j.1540-6261.1986.tb04518.x>

Stereńczak, S., Zaremba, A., & Umar, Z. (2020). Is there an illiquidity premium in frontier markets? *Emerging Markets Review*, 42, 100673. <https://doi.org/10.1016/j.ememar.2019.100673>

The Investor. (2026a, March 4). *FTSE Russell eyes 28 Vietnam stocks ahead of market status upgrade review*. <https://theinvestor.vn/ftse-russell-eyes-28-vietnam-stocks-ahead-of-market-status-upgrade-review-d18516.html> Accessed 24 September 2026.

The Investor. (2026b, April 8). *FTSE Russell names 32 Vietnamese stocks eligible for emerging-market index inclusion*. <https://theinvestor.vn/ftse-russell-names-32-vietnamese-stocks-eligible-for-emerging-market-index-inclusion-d18800.html> Accessed 24 September 2026.

Viet Nam News. (2025, November 13). *FTSE Russell plans inclusion of 28 Vietnamese stocks in 2026 market upgrade*. <https://vietnamnews.vn/economy/1729462/ftse-russell-plans-inclusion-of-28-vietnamese-stocks-in-2026-market-upgrade.html> Accessed 24 September 2026.

VietnamPlus. (2024, December 30). *Vietnamese billion dollar oil refinery exits UPCoM to join HoSE*. <https://en.vietnamplus.vn/vietnamese-billion-dollar-oil-refinery-exits-upcom-to-join-hose-post307514.vnp> Accessed 24 September 2026.

VIR. (2026, August 22). *FTSE Russell names 27 Vietnamese stocks in review*. <https://vir.com.vn/ftse-russell-names-27-vietnamese-stocks-in-review-159265.html> Accessed 24 September 2026.